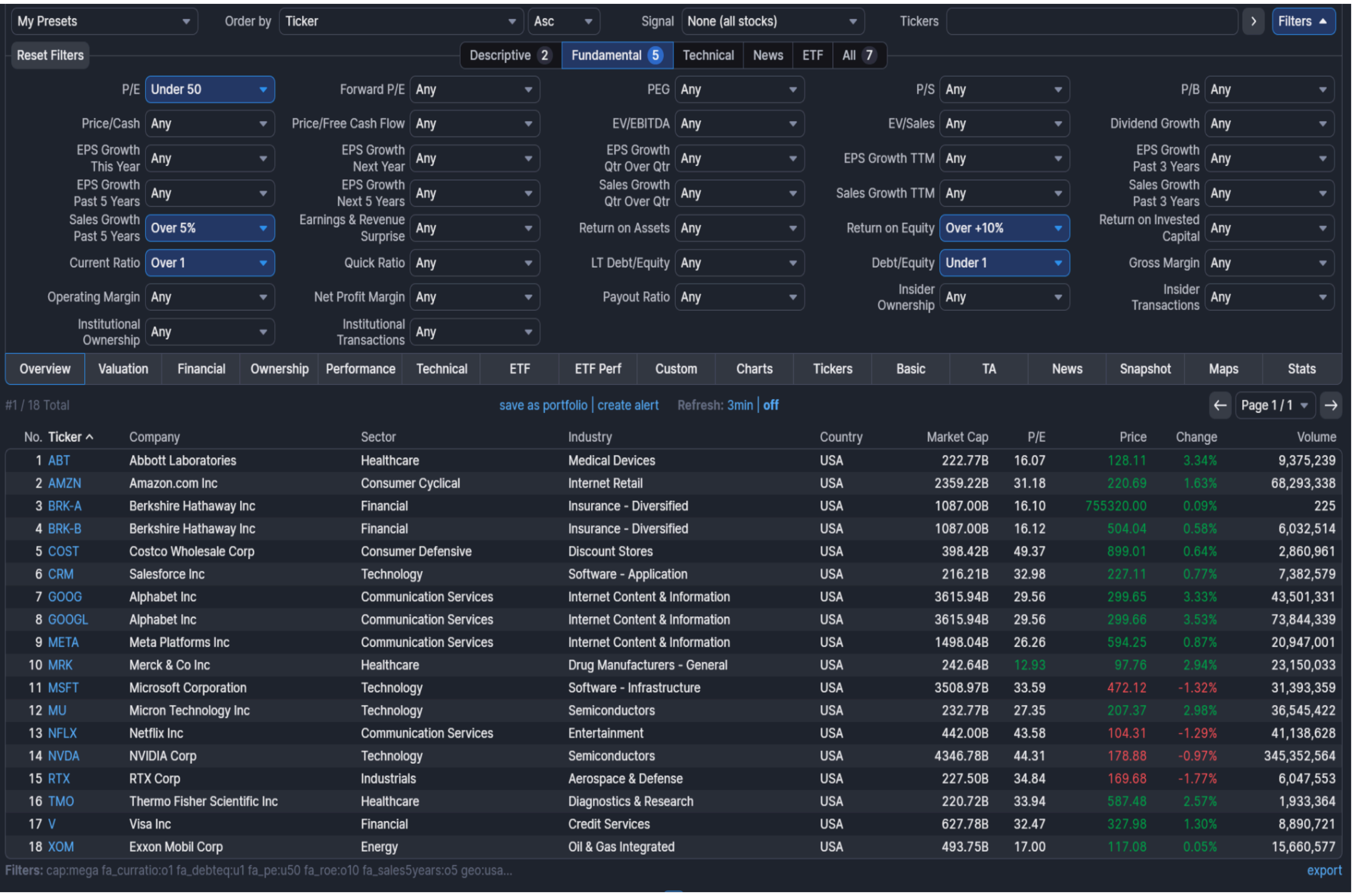
Equity Screening and Stock Selection

Part 1: Description of stock screen



No.	Ticker	Company	Sector	Industry	Country	Market Cap	P/E	Price	Change	Volume
1	ABT	Abbott Laboratories	Healthcare	Medical Devices	USA	222.77B	16.07	128.11	3.34%	9,375,239
2	AMZN	Amazon.com Inc	Consumer Cyclical	Internet Retail	USA	2359.22B	31.18	220.69	1.63%	68,293,338
3	BRK-A	Berkshire Hathaway Inc	Financial	Insurance - Diversified	USA	1087.00B	16.10	755320.00	0.09%	225
4	BRK-B	Berkshire Hathaway Inc	Financial	Insurance - Diversified	USA	1087.00B	16.12	504.04	0.58%	6,032,514
5	COST	Costco Wholesale Corp	Consumer Defensive	Discount Stores	USA	398.42B	49.37	899.01	0.64%	2,860,961
6	CRM	Salesforce Inc	Technology	Software - Application	USA	216.21B	32.98	227.11	0.77%	7,382,579
7	GOOG	Alphabet Inc	Communication Services	Internet Content & Information	USA	3615.94B	29.56	299.65	3.33%	43,501,331
8	GOOGL	Alphabet Inc	Communication Services	Internet Content & Information	USA	3615.94B	29.56	299.66	3.53%	73,844,339
9	META	Meta Platforms Inc	Communication Services	Internet Content & Information	USA	1498.04B	26.26	594.25	0.87%	20,947,001
10	MRK	Merck & Co Inc	Healthcare	Drug Manufacturers - General	USA	242.64B	12.93	97.76	2.94%	23,150,033
11	MSFT	Microsoft Corporation	Technology	Software - Infrastructure	USA	3508.97B	33.59	472.12	-1.32%	31,393,359
12	MU	Micron Technology Inc	Technology	Semiconductors	USA	232.77B	27.35	207.37	2.98%	36,545,422
13	NFLX	Netflix Inc	Communication Services	Entertainment	USA	442.00B	43.58	104.31	-1.29%	41,138,628
14	NVDA	NVIDIA Corp	Technology	Semiconductors	USA	4346.78B	44.31	178.88	-0.97%	345,352,564
15	RTX	RTX Corp	Industrials	Aerospace & Defense	USA	227.50B	34.84	169.68	-1.77%	6,047,553
16	TMO	Thermo Fisher Scientific Inc	Healthcare	Diagnostics & Research	USA	220.72B	33.94	587.48	2.57%	1,933,364
17	V	Visa Inc	Financial	Credit Services	USA	627.78B	32.47	327.98	1.30%	8,890,721
18	XOM	Exxon Mobil Corp	Energy	Oil & Gas Integrated	USA	493.75B	17.00	117.08	0.05%	15,660,577

（Data source: Finviz Stock Screener (2025))

The image above shows the 18 stocks generated from my screen using the five selected financial ratios. Below, I will explain the meaning of each ratio and the reasons for selecting them.

P/E (Price ratio): Price-to-Earnings Ratio, measures how much investors are willing to pay for one dollar of a company's earnings. It can reflect on the future growth expectations of the market. The reason why I choose the P/E ratio is a very simple and intuitive way to understand how the market values earnings. It can help identify

whether investors are paying a reasonable price for the company's performance. I set the P/E ratio cutoff at under 50 because I think this value is a balance point. If the limit were too low, I might have missed some companies in growth-oriented industries. However, if the limit were too high, it would fail to control overpriced stocks.

ROE (Profitability ratio): Return on Equity ratio, measures how efficiently a company generates profit from shareholders' equity. A higher ROE usually indicates stronger management performance and better use of capital. The reason I choose ROE is it helps identify companies that can consistently turn invested capital into earnings, which is very important for the long-term development of a company. Setting the limit at above 10% allows the screen to select the healthy profitability company but without excluding the company with potential.

Current Ratio (Liquidity ratio): The Current Ratio compares a company's current assets to its current liabilities and indicates whether it can meet short-term obligations. I am concerned about it since liquidity is very important to financial stability during uncertain economic periods. Using the ratio above 1, I want to filter out companies that might struggle with the short-term cash flow but keep the limit reasonable to not exclude healthy companies.

Debt/Equity Ratio (Leverage ratio): The Debt-to-Equity ratio measures how much a company relies on debt relative to shareholders' equity. Companies that rely too much on leverage may face significant financial risks. Therefore, I choose this ratio to help me ensure that the filtered companies maintain a manageable level of debt. Setting the cutoff at under 1 helps avoid highly leveraged companies while controlling the scope of a reasonable borrowing.

Sales Growth Past 5 Years (Other ratio): This reflects whether a company has been able to steadily expand its revenue over time. A business that can consistently increase sales usually has strong customer demand and a solid competitive position. I choose this ratio since it can give a long-term prediction, which helps me to identify the potential growth momentum. Setting the limit over 5% helps me focus on companies that are actually moving forward and excluding the companies with flat or declining sales.

Part 2: Picking a value stock

The value stock I picked is Berkshire Hathaway(BRK.B). Below, I will use quantitative and qualitative analysis, to justify my choice.

Peers AIG PGR CB ALL TRV L MET PRU MMC AON | Held by VTI VOO IVV SPY VTV XLF IWD SPLG SPYM ITOT

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Index	S&P 500	P/E	16.12	EPS (ttm)	31.27	Insider Own	36.62%	Shs Outstand	1.37B	Perf Week	-0.96%
Market Cap	1087.00B	Forward P/E	23.18	EPS next Y	21.74	Insider Trans	-0.00%	Shs Float	1.37B	Perf Month	2.83%
Enterprise Value	858.09B	PEG	47.40	EPS next Q	5.35	Inst Own	41.60%	Short Float	0.88%	Perf Quarter	3.67%
Income	67.46B	P/S	2.92	EPS this Y	-2.91%	Inst Trans	0.00%	Short Ratio	2.65	Perf Half Y	0.12%
Sales	372.13B	P/B	1.56	EPS next Y	1.79%	ROA	5.69%	Short Interest	11.97M	Perf YTD	11.20%
Book/sh	323.62	P/C	2.85	EPS next 5Y	0.34%	ROE	10.17%	52W High	542.07 -7.02%	Perf Year	7.50%
Cash/sh	176.98	P/FCF	56.25	EPS past 3/5Y	1.35% 4.43%	ROIC	8.20%	52W Low	440.10 14.53%	Perf 3Y	63.25%
Dividend Est.	-	EV/EBITDA	11.51	Sales past 3/5Y	10.38% 7.84%	Gross Margin	24.85%	Volatility	1.37% 1.40%	Perf 5Y	116.23%
Dividend TTM	-	EV/Sales	2.31	EPS Y/Y TTM	-36.83%	Oper. Margin	16.49%	ATR (14)	7.15	Perf 10Y	281.96%
Dividend Ex-Date	-	Quick Ratio	5.59	Sales Y/Y TTM	0.60%	Profit Margin	18.13%	RSI (14)	57.87	Recom	2.71
Dividend Gr. 3/5Y	- -	Current Ratio	5.89	EPS Q/Q	17.19%	SMA20	2.05%	Beta	0.69	Target Price	513.19
Payout	0.00%	Debt/Eq	0.22	Sales Q/Q	2.13%	SMA50	1.93%	Rel Volume	1.33	Prev Close	501.12
Employees	392400	LT Debt/Eq	0.18	Earnings	Nov 01 AMC	SMA200	1.45%	Avg Volume	4.53M	Price	504.04
IPO	May 09, 1996	Option/Short	Yes / Yes	EPS/Sales Surpr.	9.39% -0.68%	Trades		Volume	6,032,514	Change	0.58%

(Data source: Finviz Stock Screener (2025))

Quantitative criteria:

- **P/E Ratio: 16.12**
- **ROE: 10.17%**
- **Debt/Equity: 0.22**
- **Current Ratio: 5.89**
- **Sales Growth Past 5 Years: 7.84%**

Here are the reasons of choosing Berkshire Hathaway(BRK.B) as the value stock based on quantitative analysis. Its P/E ratio of 16.12 reflects that the stock is priced at a reasonable level relative to its stable earning base. It will not be overpriced or undervalued. It reflects exactly what value-focused investors preferred. The company's ROE of 10.17% shows that Berkshire continues to generate steady profits and have the strong ability to manage shareholders' capital and turn it into earnings in diverse businesses. The Debt/Equity ratio of 0.22 shows that the company uses very low leverage, which contributes to a very stable business operation and reduces the overall risk. On top of that, the current ratio of 5.89 highlights its strong liquidity supported by cash reserves. This can provide a solid margin of safety and have the

ability to deal with the short-term obligations. Finally, the five-year sales growth of 7.84% indicates the reliable long-term expansion of its revenue. The consistency reflects that the company has a long-term and steady development rather than a fast-moving growth company.

Qualitative criteria:

- **Durable competitive advantage**
- **Business is easy to understand**
- **Revenue not reliant directly to the price of a commodity**
- **Low debt and strong self-funding operation**
- **Having honest, competent management**

From a qualitative perspective, Berkshire Hathaway(BRK.B) fits well with the standards value investors look for. First, it has a durable competitive advantage that the company's core business such as insurance, freight rail transportation and utilities and energy generation make them hard to replace by other companies. For example, BNSF Railway alone is one of North America's largest rail-systems. It provides a stable foundation of earning power. Moreover, its business model is very straightforward and easy to understand, which avoids the complexity that the value investors try to avoid and spend more on the diversity. Even more, Berkshire's revenue is not tied to volatile commodity prices since it is not an oil, metal or agriculture company. This allows it to have the ability to remain stable during the uncertain market periods. Also, the company runs on low debt and generates very strong self-funding to contribute to its growth, which reduces the long-term risk and satisfies the condition of the value investors. Lastly, the company is known for the honest and disciplined management, this is a key factor that gives value investors confidence in the company's long-term direction and development. (Berkshire Hathaway Inc., 2024)

Part 3: Picking a growth stock

The value stock I picked is Alphabet Inc(GOOG). Below, I will use quantitative and qualitative analysis, to justify my choice.

< Screener

GOOG Alphabet Inc

Communication Services • Internet Content & Information • USA • NASD

Nov 24 • 04:00PM ET

318.47 +18.82 ↑ 6.28%

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Index	NDX, S&P 500	P/E	31.42	EPS (ttm)	10.14	Insider Own	58.41%	Shs Outstand	5.42B	Perf Week	11.51%
Market Cap	3843.05B	Forward P/E	28.51	EPS next Y	11.17	Insider Trans	0.01%	Shs Float	5.02B	Perf Month	22.25%
Enterprise Value	3785.75B	PEG	1.87	EPS next Q	2.62	Inst Own	26.69%	Short Float	0.79%	Perf Quarter	53.15%
Income	124.25B	P/S	9.97	EPS this Y	31.61%	Inst Trans	-0.44%	Short Ratio	1.69	Perf Half Y	83.05%
Sales	385.52B	P/B	9.94	EPS next Y	5.58%	ROA	25.71%	Short Interest	39.50M	Perf YTD	67.23%
Book/sh	32.03	P/C	39.02	EPS next 5Y	16.81%	ROE	35.45%	52W High	306.89 3.77%	Perf Year	79.59%
Cash/sh	8.16	P/FCF	52.25	EPS past 3/5Y	12.76% 26.76%	ROIC	29.40%	52W Low	142.66 123.24%	Perf 3Y	223.32%
Dividend Est.	0.59 (0.19%)	EV/EBITDA	25.77	Sales past 3/5Y	10.75% 16.73%	Gross Margin	59.18%	Volatility	4.45% 3.07%	Perf 5Y	259.82%
Dividend TTM	0.82 (0.26%)	EV/Sales	9.82	EPS Y/Y TTM	34.26%	Oper. Margin	33.10%	ATR (14)	10.92	Perf 10Y	773.77%
Dividend Ex-Date	Dec 08, 2025	Quick Ratio	1.75	Sales Y/Y TTM	13.55%	Profit Margin	32.23%	RSI (14)	75.65	Recom	1.45
Dividend Gr. 3/5Y	- -	Current Ratio	1.75	EPS Q/Q	35.35%	SMA20	11.42%	Beta	1.05	Target Price	325.37
Payout	7.46%	Debt/Eq	0.11	Sales Q/Q	16.21%	SMA50	20.49%	Rel Volume	2.33	Prev Close	299.65
Employees	183323	LT Debt/Eq	0.09	Earnings	Oct 29 AMC	SMA200	58.30%	Avg Volume	23.35M	Price	318.47
IPO	Mar 27, 2014	Option/Short	Yes / Yes	EPS/Sales Surpr.	26.62% 2.40%	Trades		Volume	54,444,031	Change	6.28%

(Data source: Finviz Stock Screener (2025))

Quantitative criteria:

- **EPS Growth This Year: 31.61%**
- **EPS Y/Y: 34.26%**
- **Sales past 5 years: 16.73%**
- **EPS next 5 years: 16.81%**
- **PEG: 1.87**

Here are the reasons for choosing Alphabet Inc.(GOOG) as the growth stock based on quantitative analysis. Its EPS growth of 31.61% this year reflects that the company is expanding the profitability at a very rapid pace, which is one of the key points the growth investors look for. The EPS Y/Y increase of 34.26% shows that Google's

earnings improvement is a consistent upward trend, which is a very important point of choosing a growth stock. In addition, the sales of the past 5 years of 16.73% reflects the strong and steady revenue expansion, which shows the continued expansion of business scale like AI related products and YouTube. This can contribute to rapid development in the future. Moreover, the EPS next 5 years of 16.81% shows the good prediction of the company and this indicates the solid and strong future potential. Finally, a PEG of 1.87 reflects that the valuation of Google's is at a reasonable growth rate, which is not overpriced or undervalued, making it a very suitable choice for the growth investors.

Qualitative criteria:

- **goods or services with sufficient market potential to grow sales for several years**
- **High profit margins**
- **Have excellent management and leadership**
- **Strong innovation and the capability of product development**
- **The company must have a sizable research and development group**

From a qualitative perspective, Alphabet Inc. (GOOG) matches well with the conditions of the growth stock. First, the company operates in industries that have a massive long-term potential, such as AI, digital advertising and some social media. All of these are expected to have long potential development, which can contribute to the growth of sales. Moreover, Alphabet's strong commitment to innovation is supported by one of the largest R&D budgets in the world. For example, the company spent about US$55 billion on research and development in 2025 (MacroTrends, 2025). Also, Google maintains high profit margins. For example, Alphabet reported a 33% operating margin in 2024 (Alphabet Inc., 2024), showing a very strong future development and growth. Even more, the company's leadership is forward-thinking and willing to invest in technologies that take time to grow. They consistently push for new ideas. For example, improving products like Gemini, YouTube, Chrome, and Android.

APA Citations:

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Alphabet Inc. (2024). *Form 10-K annual report for 2024*. U.S. Securities and Exchange Commission. https://www.sec.gov/Archives/edgar/data/1652044/000165204425000014/goog-20241231.htm